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TESLA

HOME IMPROVEMENT AGREEMENT – RESIDENTIAL

| Customer Name and Address | Salesperson | Installation Location | Tesla Energy Operations, Inc. |
|---|---|---|---|
| Bradley Lanning<br><br>6847 Summerset Avenue<br>Firestone, CO 80504 | Gail Nichols<br><br>Registration/License Number:<br>_____<br>470 E 76th Ave, #3a<br>Denver, CO 80229 | 6847 Summerset Avenue<br>Firestone, CO 80504 | CO EC8041 |

This Home Improvement Agreement (this "**Agreement**") is between Tesla, Inc. ("**Tesla**", "**we**" or "**Contractor**") and you ("**Customer**") for the work described below (the "**Work**") at your home (the "**Property**" or your "**Home**"). The parties agree as follows:

**KEY TERMS AND CONDITIONS**

1. **DESCRIPTION OF THE WORK AND DESCRIPTION OF THE SIGNIFICANT MATERIALS TO BE USED.** Tesla will temporarily remove the Tesla-installed solar panel system (the "**System**") and reinstall the System after completion of the Customer-initiated roof work.
   - (i) Tesla to remove the System from rooftop.
   - (ii) Customer to provide on-site storage for removed System for duration of time needed for roofer coordination.
   - (iii) Non-Tesla roofer to repair/replace existing roof under location of System (not part of Tesla Work).
   - (iv) Non-Tesla roofer must re-install the same roofing material and coordinate the flashing process with Tesla. The roof warranty is held by the roofing company. If a different roofing material is to be used under location of the System, the non-Tesla roofer must have prior written approval from Tesla.
   - (v) Non-Tesla roofer to prepare roof for re-installation of System (not part of Tesla Work).
   - (vi) Tesla to reinstall the full System on rooftop and re-commission System to working order.

2. **CONTRACT PRICE.** The Contract Price for the Work is **$499.** The Contract Price is subject to any change orders agreed to in writing by both parties.

3. **WORK TIMELINE.** Tesla will perform the Work within a reasonable amount of time after we sign this Agreement but no later than two (2) months from the date of this Agreement, which shall be of the essence. When Tesla completes the Work described above, then substantial completion of the Work to be performed under this Agreement shall have occurred:

   **Approximate Start Date:** **30 days from the date of this Agreement**

   **Approximate Completion Date:** **60days from the date of this Agreement, contingent on roofer's timeline**

   This performance timeline is an estimate and may be adjusted as provided in this Agreement, including delays due to late payments or unforeseen conditions.

4. **SCHEDULE OF PAYMENTS.**

| PAYMENT | TIMING | AMOUNT | NOTES |
|---|---|---|---|
| Total | Due at relocation/alteration | **$499.00** | Includes any applicable sales tax |

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(**CUSTOMER'S INITIALS**) _____

5. The pricing in this Agreement is valid for 30 days after 8/2/2018. If you don't sign this Agreement and return it to us on or prior to 30 days after 8/2/2018, Tesla reserves the right to reject this Agreement unless you agree to our then current pricing**.**

6. **<u>NOTICE OF RIGHT TO CANCEL</u>. YOU MAY CANCEL THIS AGREEMENT AT ANY TIME PRIOR TO MIDNIGHT OF THE THIRD BUSINESS DAY AFTER THE DATE YOU SIGN THIS AGREEMENT. SEE THE ATTACHED NOTICE OF CANCELLATION FORM ATTACHED AS EXHIBIT 1 FOR AN EXPLANATION OF THIS RIGHT.**

**Customer's Name:** Bradley Lanning

DocuSigned by:

Signature: _____

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Date: 8/2/2018

**Home Improvement Agreement**

Tesla Approved

Sanjay Shah
SVP, Energy Operations

Date: 8/2/2018



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**You are entitled to a completely filled in copy of this Agreement, signed by both you and the Contractor, before any work may be started.**

## GENERAL TERMS AND CONDITIONS

### 1. CHANGES, PERMITS, REBATES, INCENTIVES

Any changes to the Work will be documented in a written amendment to this Agreement signed by both you and Tesla.

You acknowledge that the equipment and materials we will furnish and install are subject to cost increases. We will hold the Contract Price for six (6) months after the date of this Agreement. After six (6) months, if the cost of any equipment or material rises by any unusual amount because of circumstances beyond Tesla's control, including but not limited to market price fluctuation or a site audit that reveals the need for additional materials or labor, then Tesla shall have the right to present you with a change order for the equipment with a new price. You will have the right to accept or reject this new price and get your deposit, if any, back. If you do not accept the new price, Tesla shall have the right to terminate this Agreement and issue you a full refund, upon which the parties shall have no further obligations to one another.

Tesla will obtain any necessary permits, at Tesla's cost. Tesla shall not be responsible for delays in work due to the actions of any permitting and regulatory agencies or their employees. You will pay Tesla for any taxes or assessments required by federal, state or local governments or related regulatory agencies or utilities.

### 2. SCHEDULE OF PROGRESS PAYMENTS

The schedule of progress payments (see Key Terms and Conditions cover sheet) must specifically describe each phase of work, including the type and amount of work or services scheduled to be supplied in each phase, along with the amount of each proposed progress payment. **IT IS AGAINST THE LAW FOR A CONTRACTOR TO COLLECT PAYMENT FOR WORK NOT YET COMPLETED, OR FOR MATERIALS NOT YET DELIVERED. HOWEVER, A CONTRACTOR MAY REQUIRE A DOWNPAYMENT. Customer may, at its discretion, issue payment to Contractor via joint check with any of Contractor's subcontractors or suppliers.**

**Note about Extra Work and Change Orders.** Extra Work and Change Orders become part of the contract once the order is prepared in writing and signed by the parties prior to commencement of any work covered by the new change order. The order must describe (i) the scope of the Extra Work or change, (ii) the cost to be added or subtracted from the contract; and (iii) the effect the order will have on the schedule of progress payments or the completion date. Notwithstanding this provision, the Contractor shall have the right to substitute equipment without Customer's agreement, so long as that substitution adds no extra cost to the project and does not materially affect the Work. The Contractor's failure to comply with the requirements of this paragraph does not preclude the recovery of compensation for work performed based on legal or equitable remedies designed to prevent unjust enrichment.

### 3. PROPERTY CONDITIONS

You will be responsible for the structural integrity of the location where the Work is installed, including structural or electrical modifications necessary to prepare your Property for the Work. You agree that Tesla is not responsible for any known or unknown Property conditions.

### 4. EXISTING CONDITIONS

Tesla is not responsible and bears no liability for the malfunctioning of existing electrical equipment at the Property, including but not limited to the main electrical service panel, any major electrical devices, or any other fuses or similar devices.

### 5. COST OR DELAY DUE TO UNFORESEEN CONDITIONS

Tesla is not responsible for failures, delays or expenses related to unanticipated, unusual, or unforeseen conditions at the Property arising out of conditions beyond Tesla's reasonable control (all of which shall be considered "**Force Majeure Events**"). Performance times under this Agreement will be considered extended for a period of time equivalent to the time lost due to such conditions. If Tesla discovers unforeseen conditions requiring additional cost, then Tesla shall present such costs to you and get your written approval before beginning or



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continuing performance. **Failure to provide such approval may result in Tesla exercising its rights pursuant to Section 8 of this Agreement.**

**6. PROPERTY ACCESS**

You grant to Tesla and its employees, agents and contractors the right to reasonably access all of the Property as necessary for the purposes of peforming the Work or making any additions to complete the Work.

**7. TITLE AND RISK OF LOSS**

Title to the Work shall transfer to you when we complete the Work. After delivery of the equipment and materials to your Property, other than damage directly resulting from Tesla's actions, you bear risk of loss to the Work. Tesla retains all Tesla-owned intellectual property rights on any of the equipment installed in your Work including, but not limited to, patents, copyrights and trademarks and any data generated by Tesla's monitoring system.

**8. TERMINATION AND DEFAULT**

Tesla may terminate this Agreement, upon seven (7) days written notice, for any material or non-material breach, for any failure of Customer to agree to an appropriate change order, for any failure of Customer to pay Tesla any amount due, for any bankruptcy or financial distress of Customer, or for any hindrance to Tesla in the performance process.

**9. REMEDIES UPON CUSTOMER'S BREACH**

Without limiting any of Tesla's other rights and remedies, upon any breach by Customer, including any failure of Customer to pay Tesla any amount due, Tesla shall have the right to: (i) pursue a stop work order at the Property; (ii) prevent any more work from being done at the Property until the breach is cured and a bond is posted by the Customer for any amounts payable under this Agreement; (iii) recover all amounts due under this Agreement for services provided through the date of termination including interest (prime + 2% or such amount as allowed by law); (iv) remove any Work materials or equipment from the Property; and (v) any other legal remedies including but not limited to mechanics liens or similar remedies.

**10. MECHANICS' LIEN RELEASES**

Upon satisfactory payment for any portion of the work performed, Tesla shall, prior to any further payment, furnish to Customer a full and unconditional release from any claim or mechanics' lien pursuant to applicable law for that portion of the work for which payment has been made. Please see Exhibit 3 for applicable lien notices and warnings required by law.

**11. TESLA'S INSURANCE**

**a. Commercial General Liability Insurance (CGL).** Tesla carries commercial general liability insurance with coverage amounts that meet or exceed those required by law.

**b. Workers' Compensation Insurance**. Tesla carries workers' compensation insurance for all employees in compliance with law.

**12. INDEMNIFICATION**

Both parties shall indemnify, defend and hold harmless the other and its employees, officers, directors, agents and assigns from any and all third party claims, actions, costs, expenses (including reasonable attorneys' fees and expenses), damages, liabilities, penalties, losses, obligations, demands and liens of any kind arising out of or relating to its failure to perform its obligations under this Agreement. Neither party shall be required to indemnify the other for its own negligence, willful misconduct or fraud.

**13. GOVERNING LAW**

The laws of the state where your Home is located shall govern this Agreement without giving effect to conflict of laws principles.

**14. ENTIRE AGREEMENT**

This Agreement contains the parties' entire agreement regarding the Work. There are no other agreements regarding this Agreement, either written or spoken. Any change to this Agreement must be in writing and signed by both parties. Only an authorized officer of Tesla may execute any changes to this Agreement on behalf of Tesla. If any portion of this Agreement is determined to be unenforceable or invalid, the remaining provisions shall be enforced in accordance with their terms or shall be interpreted or re-written so as to make them enforceable. Provisions that should reasonably be considered to survive termination of this Agreement shall survive. Tesla may assign or subcontract any of its rights or obligations under this Agreement to any successor, partner or purchaser.

**15. WAIVER**

Any delay or failure of a party to enforce any of the provisions of this Agreement, including but not limited to any remedies listed in this Agreement, or to require performance by the other party of any of the



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provisions of this Agreement, shall not be construed to (i) be a waiver of such provisions or a party's right to enforce that provision; or (ii) affect the validity of this Agreement.

**16. [RESERVED]**

**17. PRIVACY**

The Tesla Customer Privacy Policy (www.tesla.com/legal) is part of this Agreement.

**18. AGREEMENT TO ARBITRATE**

Please carefully read this provision, which applies to any dispute between you and Tesla, Inc. and its affiliates (together "Tesla").

If you have a concern or dispute, please send a written notice describing it and your desired resolution to resolutions@tesla.com.

If not resolved within 60 days, you agree that any dispute arising out of or relating to any aspect of the relationship between you and Tesla will not be decided by a judge or jury but instead by a single arbitrator in an arbitration administered by the American Arbitration Association (AAA) under its Consumer Arbitration Rules. This includes claims arising before this Agreement, such as claims related to statements about our products.

We will pay all AAA fees for any arbitration, which will be held in the city or county of your residence. To learn more about the Rules and how to begin an arbitration, you may call any AAA office or go to www.adr.org.

The arbitrator may only resolve disputes between you and Tesla, and may not consolidate claims without the consent of all parties. The arbitrator cannot hear class or representative claims or requests for relief on behalf of others purchasing or leasing Tesla products. In other words, you and Tesla may bring claims against the other only in your or its individual capacity and not as a plaintiff or class member in any class or representative action. If a court or arbitrator decides that any part of this agreement to arbitrate cannot be enforced as to a particular claim for relief or remedy (such as injunctive or declaratory relief), then that claim or remedy (and only that claim or remedy) shall be severed and must be brought in court and any other claims must be arbitrated.

If you prefer, you may instead take an individual dispute to small claims court.
You may opt out of arbitration within 30 days after signing this Agreement by sending a letter to: Tesla, Inc.; P.O. Box 15430; Fremont, CA 94539-7970, stating your name, product, and intent to opt out of the arbitration provision. If you do not opt out, this agreement to arbitrate overrides any different arbitration agreement between us, including any arbitration agreement in a lease or finance contract.

**19. LIMITED WARRANTY**

TESLA WARRANTS THAT THE WORK WILL BE PERFORMED IN A GOOD AND WORKMANLIKE MANNER, FREE OF DEFECTS, FOR A PERIOD OF ONE (1) YEAR AFTER COMPLETION OF THE WORK. THERE ARE NO OTHER REPRESENTATIONS OR WARRANTIES, EXPRESS OR IMPLIED, AS TO THE MERCHANTABILITY, FITNESS FOR ANY PURPOSE, CONDITION, DESIGN, CAPACITY, SUITABILITY OR PERFORMANCE OF THE WORK. UPON RECEIPT OF PAYMENT IN FULL UNDER THIS AGREEMENT ALL WARRANTIES THAT ARE PROVIDED BY MANUFACTURERS OF EQUIPMENT USED IN THE WORK WILL BE TRANSFERRED DIRECTLY TO YOU. YOU UNDERSTAND THAT TESLA HAS NO RESPONSIBILITY WITH RESPECT TO SUCH WARRANTIES OTHER THAN TO TRANSFER THEM TO YOU.

**20. LIMITATION OF LIABILITY.**

a. **No Consequential Damages**. EACH PARTY'S LIABILITY TO THE OTHER UNDER THIS AGREEMENT SHALL BE LIMITED TO DIRECT, ACTUAL DAMAGES ONLY. WE BOTH AGREE THAT IN NO EVENT SHALL EITHER PARTY BE LIABLE TO THE OTHER FOR CONSEQUENTIAL, INCIDENTAL, PUNITIVE, EXEMPLARY, SPECIAL OR INDIRECT DAMAGES.

b. **Actual Damages**. Neither party's liability to the other will exceed $2,000,000, including without limitation, damages to your Home or Property during the performance of the Work or resulting from the Work.

EXCEPTING THE OTHER PROVISIONS UNDER THIS HEADING, TESLA DISCLAIMS AND CUSTOMER WAIVES ALL EXPRESS OR IMPLIED WARRANTIES INCLUDING (WITHOUT LIMITATION) ANY IMPLIED WARRANTIES OF MERCHANTABILITY AND FITNESS FOR A PARTICULAR PURPOSE. TESLA SHALL NOT BE LIABLE TO CUSTOMER UNDER THIS WARRANTY IF AN ALLEGED DEFECT IN ANY WORK OR EQUIPMENT WAS CAUSED BY CUSTOMER'S OR ANY THIRD PERSON'S (FOR WHOM TESLA IS NOT RESPONSIBLE AS PROVIDED HEREIN) MISUSE, NEGLECT, UNAUTHORIZED ATTEMPTS TO



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REPAIR, OR ANY OTHER CAUSE BEYOND THE RANGE OF THE INTENDED USE, OR BY ACCIDENT, FIRE, LIGHTNING OR OTHER HAZARD.

**21. NOTICE REGARDING PERFORMANCE AND PAYMENT BONDS**

The owner or tenant in a home improvement contract has the right to require the contractor to have a performance and payment bond.

**22. ADDITIONAL RIGHT TO CANCEL**

**IN ADDITION TO THE STATUTORY THREE DAY RIGHT TO CANCEL YOU HAVE UNDER THIS AGREEMENT, YOU MAY ALSO CANCEL THIS AGREEMENT AT NO COST AT ANY TIME PRIOR TO PERFORMANCE OF THE WORK, BUT IN NO EVENT LATER THAN 5 P.M. OF THE 14th CALENDAR DAY AFTER YOU SIGN THIS AGREEMENT**.]

23. **List of documents to be incorporated into the contract.**

- Exhibit 1:
  Notice of Cancellation (3 Day Right to Cancel)
- Exhibit 2:
  [RESERVED]
- Exhibit 3:
  State Specific Provisions



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# EXHIBIT 1 (TESLA COPY)
# NOTICE OF CANCELLATION
# STATUTORILY-REQUIRED LANGUAGE
## Notice of Cancellation

**Date of Transaction: The date you signed the Agreement.**

**You may CANCEL this transaction, without any penalty or obligation, within THREE BUSINESS DAYS from the above date. If you cancel, any property traded in, any payments made by you under the contract or sale and any negotiable instrument executed by you will be returned within TEN DAYS following receipt by the seller (Tesla) of your cancellation notice, and any security interest arising out of the transaction will be canceled. If you cancel, you must make available to the seller (Tesla) at your residence, in substantially as good condition as when received, any goods delivered to you under this contract or sale, or you may, if you wish, comply with the instructions of the seller (Tesla) regarding the return shipment of the goods at the seller's (Tesla's) expense and risk. If you do make the goods available to the seller (Tesla) and the seller (Tesla) does not pick them up within 20 days of the date of your notice of cancellation, you may retain or dispose of the goods without any further obligation. If you fail to make the goods available to the seller (Tesla), or if you agree to return the goods to the seller (Tesla) and fail to do so, then you remain liable for performance of all obligations under the contract.**

**To cancel this transaction, mail or deliver a signed and dated copy of this cancellation notice, or any other written notice, or send a telegram to Tesla, Document Receiving, 6611 Las Vegas Blvd. S., Unit 200, Las Vegas, NV 89119 NOT LATER THAN MIDNIGHT of the date that is THREE BUSINESS DAYS from the date you signed the Agreement.**

**I, Bradley Lanning, hereby cancel this transaction on _____ [Date].**

**Customer's Signature:**

_____

**Customer's Signature:**

_____



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# EXHIBIT 1 (CUSTOMER COPY)
# NOTICE OF CANCELLATION
# STATUTORILY-REQUIRED LANGUAGE

## Notice of Cancellation

**Date of Transaction: The date you signed the Agreement.**

**You may CANCEL this transaction, without any penalty or obligation, within THREE BUSINESS DAYS from the above date. If you cancel, any property traded in, any payments made by you under the contract or sale and any negotiable instrument executed by you will be returned within TEN DAYS following receipt by the seller (Tesla) of your cancellation notice, and any security interest arising out of the transaction will be canceled. If you cancel, you must make available to the seller (Tesla) at your residence, in substantially as good condition as when received, any goods delivered to you under this contract or sale, or you may, if you wish, comply with the instructions of the seller (Tesla) regarding the return shipment of the goods at the seller's (Tesla's) expense and risk. If you do make the goods available to the seller (Tesla) and the seller (Tesla) does not pick them up within 20 days of the date of your notice of cancellation, you may retain or dispose of the goods without any further obligation. If you fail to make the goods available to the seller (Tesla), or if you agree to return the goods to the seller (Tesla) and fail to do so, then you remain liable for performance of all obligations under the contract.**

**To cancel this transaction, mail or deliver a signed and dated copy of this cancellation notice, or any other written notice, or send a telegram to Tesla, Document Receiving, 6611 Las Vegas Blvd. S., Unit 200, Las Vegas, NV 89119 NOT LATER THAN MIDNIGHT of the date that is THREE BUSINESS DAYS from the date you signed the Agreement.**

**I, Bradley Lanning, hereby cancel this transaction on _____ [Date].**

**Customer's Signature:**

_____

**Customer's Signature:**

_____



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# EXHIBIT 2

**[RESERVED]**

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# EXHIBIT 3

## STATE SPECIFIC PROVISIONS

**COLORADO RETURN OF DEPOSIT MONIES:** If Contractor fails to begin work within 15 days after the beginning date of the Work set forth in this Agreement, all deposit monies paid to Contractor, if any, will be returned to the Customer within 3 days after the Contractor, orally or in writing, requests return of such monies.

**COLORADO MECHANICS LIEN WARNING:**
IMPORTANT NOTICE TO OWNERS: UNDER COLORADO LAW, SUPPLIERS, SUBCONTRACTORS, OR OTHER PERSONS FURNISHING LABORERS OR PROVIDING LABOR OR MATERIALS FOR WORK ON YOUR RESIDENTIAL PROPERTY MAY HAVE A RIGHT TO COLLECT THEIR MONEY FROM YOU BY FILING A LIEN AGAINST YOUR PROPERTY.

A LIEN CAN BE FILED AGAINST YOUR RESIDENCE WHEN A SUPPLIER, SUBCONTRACTOR, OR OTHER PERSON IS NOT PAID BY YOUR CONTRACTOR FOR SUCH LABORERS, LABOR, OR MATERIALS. HOWEVER, IN ACCORDANCE WITH THE COLORADO GENERAL MECHANICS' LIEN LAW, SECTIONS 38-22-102 (3.5) AND 38-22-113 (4), COLORADO REVISED STATUTES, YOU HAVE AN AFFIRMATIVE DEFENSE IN ANY ACTION TO ENFORCE A LIEN IF YOU OR SOME PERSON ACTING ON YOUR BEHALF HAS PAID YOUR CONTRACTOR AND SATISFIED YOUR LEGAL OBLIGATIONS.

YOU MAY ALSO WANT TO DISCUSS WITH YOUR CONTRACTOR, YOUR ATTORNEY, OR YOUR LENDER POSSIBLE PRECAUTIONS, INCLUDING THE USE OF LIEN WAIVERS OR REQUIRING THAT EVERY CHECK ISSUED BY YOU OR ON YOUR BEHALF IS MADE PAYABLE TO THE CONTRACTOR, THE SUBCONTRACTOR, AND THE SUPPLIER FOR AVOIDING DOUBLE PAYMENTS IF YOUR PROPERTY DOES NOT SATISFY THE REQUIREMENTS OF SECTIONS 38-22-102 (3.5) AND 38-22-113 (4), COLORADO REVISED STATUTES.

YOU SHOULD TAKE WHATEVER STEPS NECESSARY TO PROTECT YOUR PROPERTY.



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